

Notes: Fisman, Schulz, and Vig (JPE, 2014)

The Private Returns to Public Office

Contents

1	Big picture	3
2	Incremental contribution of the paper	3
3	Data and measurement	4
3.1	Candidate affidavits and sample construction	4
3.2	Wealth variables	4
3.3	Political and candidate controls	4
4	Models and empirical specifications	5
4.1	Baseline within-constituency regression	5
4.2	Close-election specifications	5
4.3	Heterogeneity and mechanism specifications	5
4.4	Regression discontinuity design	6
5	Identification and empirical design	6
5.1	What the design can identify	6
5.2	Recontesting selection	6
5.3	Threats and limitations	7
6	Tables and figures	7
6.1	Table 1: Overview of Sample States	7
6.2	Table 2: Variable Definitions	8
6.3	Table 3: Descriptive Statistics of Constituency-Matched Pairs	9
6.4	Figure 1: Kernel Densities of Asset Growth Residuals	10
6.5	Tables 4 and 5: Baseline Winner Premium and Corruption Heterogeneity	12
6.6	Tables 6 and 7: Government Power and Ministerial Office	13
6.7	Tables 8 and 9: Incumbency and Other Candidate Characteristics	14
6.8	Table 10 and Figure 2: Regression Discontinuity Evidence	15
6.9	Figure 3, Table 11, and Figure 4: Balance and Seasoned Candidates	18
6.10	Tables 12 and 13: Bihar Hung Assembly Quasi-Experiment	20

6.11	Table 14: Predicted Final Wealth and Selection Concerns	21
7	Short summary	22
8	Conclusion	23
8.1	Core conclusion	23
8.2	Economic intuition	23
8.3	Incremental contribution revisited	23
8.4	Implications	23
8.5	Limitations	23
8.6	Takeaway	24

1 Big picture

- **Question.** How large are the private financial returns to holding public office? The paper studies whether politicians who win state assembly elections in India accumulate wealth faster than comparable politicians who narrowly lose.
- **Setting.** Since 2003, Indian candidates for state assembly elections have been required to disclose assets, liabilities, education, and criminal records. The authors use these affidavits to measure wealth growth across two consecutive elections.
- **Core comparison.** The main comparison is between winners and runners-up from the same constituency who both recontest in the next election. This creates a control group of serious politicians operating in the same local political market.
- **Main finding.** Winners' assets grow roughly 3–5 percentage points per year faster than runners-up's assets. The estimated winner premium is similar or larger in close-election and regression-discontinuity specifications.
- **Mechanism.** The winner premium is much larger in high-corruption states, for members of the ruling coalition, for ministers, and for incumbents. These patterns point toward rent extraction while in office rather than ordinary salary or standard private-sector returns.
- **Power gradient.** The returns to office are not uniform. Freshman politicians do not appear to earn large premia, while incumbents and ministers earn much larger premia. The implied rents increase with political experience and access to discretionary public resources.
- **Economic takeaway.** Public office in this setting is a valuable private asset. The evidence suggests that politicians' wealth growth reflects the ability to extract rents from state power, especially where corruption opportunities are greater.

2 Incremental contribution of the paper

- **From official salaries to total wealth accumulation.** Much prior work on political incentives focuses on wages or post-office careers. This paper measures realized wealth growth, including both official and unofficial returns.
- **Use of mandatory asset disclosures.** The paper exploits a new transparency regime in India, where all candidates must publicly disclose assets and liabilities. This makes it possible to measure politician wealth before and after an electoral term.
- **A credible comparison group.** Instead of comparing politicians to the general population, the paper compares winners with runners-up in the same constituency, and then tightens the comparison using close elections and RD methods.
- **Mechanism through heterogeneity.** The analysis does not stop at estimating an average return. It asks where returns are largest: corrupt states, governing parties, ministers, incumbents, SC/ST-reserved constituencies, and Bihar's unusual hung-assembly episode.
- **Net wealth rather than gross assets.** The authors emphasize net assets, subtracting liabilities. This matters because politicians may obtain preferential loans or alter leverage while in office.
- **Political hierarchy contribution.** The paper shows that rent opportunities increase as politicians move up the hierarchy: rank-and-file winners gain, but ministers gain substantially more.
- **Research design contribution.** The paper combines several complementary designs: con-

stituency fixed effects, close elections, an RD design, a seasoned-candidates sample, and a Bihar quasi-experiment.

3 Data and measurement

3.1 Candidate affidavits and sample construction

- The data come from public affidavits filed by candidates in Indian state assembly elections between 2003 and 2012.
- The authors begin with winners and runners-up from the first election in each state and manually match them to candidates who recontest in the next election.
- The initial matching produces 3,715 recontesting candidates. After removing missing or poor-quality affidavits, suspicious asset entries, and extremely low initial net-wealth cases, the final matched sample contains 2,810 candidates.
- The main constituency-pair sample contains 1,140 candidates from 570 constituencies where both the initial winner and runner-up recontest.
- The sample covers 24 states and about 94 percent of India’s electorate.

Interpretation: The key advantage is comparability. Winners and runners-up in the same constituency face the same local economy, electorate, and institutional environment. The key limitation is that asset growth is only observed for candidates who run again.

3.2 Wealth variables

The central wealth measure is

$$\text{Net Assets} = \text{Movable Assets} + \text{Immovable Assets} - \text{Liabilities}.$$

- **Movable assets** include cash, bank deposits, securities, vehicles, jewelry, and personal loans or advances.
- **Immovable assets** include agricultural land, nonagricultural land, commercial buildings, residential buildings, and other real property.
- **Liabilities** include bank loans, loans from individuals or entities, and other dues.
- The paper aggregates wealth across the candidate, spouse, and dependent family members.
- The main dependent variable is log final net assets, with log initial net assets included as a control.

Interpretation: Net wealth is the right object if public office changes both assets and liabilities. A gross-asset measure could confuse true wealth growth with higher borrowing.

3.3 Political and candidate controls

- Candidate-level controls include gender, age, education, criminal record, and incumbency.
- Political-power measures include whether the winner belongs to the ruling government and whether the winner is appointed to the state Council of Ministers.

- The paper separately identifies former ministers, allowing a comparison between current ministers and politicians who are plausibly minister-quality but not currently in cabinet.
- Corruption is proxied by BIMARU states, BIMAROU states, and Transparency International’s state corruption index.

Interpretation: These controls and proxies let the authors ask whether returns are just broad political returns or whether they are tied to rent-extraction opportunities.

4 Models and empirical specifications

4.1 Baseline within-constituency regression

The main regression is

$$\log(\text{Final Net Assets}_{ic}) = \alpha_c + \beta \text{Winner}_{ic} + \delta_1 \log(\text{Initial Net Assets}_{ic}) + \delta'_2 \text{Controls}_{ic} + \varepsilon_{ic}.$$

- i indexes candidates and c indexes constituencies.
- α_c is a constituency fixed effect.
- β is the winner premium: the log asset gap between the winner and runner-up at the next election, conditional on initial wealth and controls.
- Since the average legislative period is about 4.9 years, the annual growth premium is approximately $\beta/4.9$.

Interpretation: The baseline design asks whether winning office changes subsequent wealth relative to losing, holding fixed the local political market and initial wealth.

4.2 Close-election specifications

The authors reestimate the baseline model using elections decided by vote-share margins below 10, 5, and 3 percentage points.

- Close elections make winners and runners-up more comparable.
- If close elections are approximately as good as random, differences in later wealth growth are less likely to reflect candidate quality.
- The estimated winner premium remains positive and economically large in these samples.

Interpretation: Close-election estimates help address the concern that winners are simply better politicians or better connected private-sector earners even without public office.

4.3 Heterogeneity and mechanism specifications

The paper estimates variants of the baseline model with interactions:

$$\log(\text{Final Net Assets}_{ic}) = \alpha_c + \beta \text{Winner}_{ic} + \theta(\text{Winner}_{ic} \times Z_c) + \delta_1 \log(\text{Initial Net Assets}_{ic}) + \varepsilon_{ic},$$

where Z_c measures corruption, political power, incumbency, or constituency/candidate traits.

- Corruption interactions test whether rent returns are larger where corruption is more feasible.
- Government and minister specifications test whether access to state power and budgets matters.
- Incumbency interactions test whether returns increase with experience and continued political status.

Interpretation: Mechanism tests are central. A salary-based explanation should not predict especially large premia in corrupt states or among ministers.

4.4 Regression discontinuity design

The RD design estimates a discontinuity in wealth-growth residuals around the zero winning-margin threshold:

$$R_i^* = \alpha + \tau D_i + \beta f(\text{Margin}_i) + \eta D_i f(\text{Margin}_i) + e_i,$$

where $D_i = 1$ on the winner side of the threshold.

- The residual R_i^* is formed after removing initial wealth and candidate observables.
- The threshold is the point where a runner-up becomes a winner.
- The RD estimates are especially large in BIMARU states and among ministers.

Interpretation: The RD design is a sharper version of the close-election design. It looks for a jump at the exact margin where political office changes hands.

5 Identification and empirical design

5.1 What the design can identify

- The paper identifies the private financial return to being elected for politicians who recontest and are comparable to runners-up.
- It does not directly observe illegal payments or bribes. Instead, it infers rent extraction from wealth growth and from where the wealth growth is concentrated.
- The most convincing evidence comes from consistency across multiple designs and heterogeneity patterns.

Interpretation: The paper is strongest as evidence of private returns to office and as indirect evidence that these returns are linked to rents. It is not a direct audit of every rupee earned by politicians.

5.2 Recontesting selection

- Wealth growth is observed only for candidates who run again and file another affidavit.
- The authors model this selection and show that if wealth shocks are independent and winners earn higher returns, the selection bias is likely downward: poorer runners-up are more likely to exit, leaving relatively successful runners-up in the sample.
- Placebo and predicted-wealth checks also suggest that observable candidate selection cannot explain the winner premium.

Interpretation: Selection into recontesting is a real limitation, but the paper argues that it should bias the estimates toward zero rather than create a false positive winner premium.

5.3 Threats and limitations

- Asset disclosures may be misreported or underreported.
- Winners and runners-up may differ in unobserved ability even in non-close elections.
- The paper cannot perfectly separate legal business gains from illicit rents.
- Close-election RD estimates are local and may not represent all politicians.
- Some high-level results, especially Bihar and seasoned-candidate tests, rely on small samples.

Interpretation: The paper's credibility rests less on any single table and more on a cumulative pattern: the returns are largest exactly where rent-seeking theories predict they should be largest.

6 Tables and figures

6.1 Table 1: Overview of Sample States

Read:

- Table 1 lists the 24 states, election years, corruption index values, electorate size, turnout, number of constituencies, contestants, and matched candidates.
- The matched sample includes 2,347 initial winners and 1,368 initial runners-up before quality screens; 961 constituencies have both winner and runner-up recontesting before the tighter final sample.
- The BIMARU states - Bihar, Madhya Pradesh, Rajasthan, and Uttar Pradesh - are separated from the remaining states.
- The table makes clear that the study is broad: it covers most of India's electorate and many institutional environments.

Economic message: The data are not a single-state case study. The broad cross-state sample allows the authors to examine whether the returns to office vary with state corruption and political institutions.

STATE	YEAR 1	YEAR 2	CORRUPTION INDEX	ELECTORATE	TURNOUT (%)	CONSTITUENCIES	MATCHED CANDIDATES			
							TOTAL CONTESTANTS	WINNERS	RUNNERS-UP	PAIRS
BIMARU										
Bihar*	2005	2010	695	51,385,891	45.85	243	2,135	180	114	84
							(131)	(72)	(34)	
Madhya Pradesh	2003	2008	584	37,956,518	67.25	230	2,171	127	51	30
							(104)	(36)	(17)	
Rajasthan	2003	2008	543	33,928,675	67.18	200	1,541	105	72	41
							(72)	(32)	(18)	
Uttar Pradesh	2007	2012	491	113,549,350	45.96	403	6,086	360	221	172
							(267)	(179)	(124)	
Non-BIMARU										
Andhra Pradesh	2004	2009	421	51,146,498	69.96	294	1,896	132	94	57
							(112)	(76)	(35)	
Arunachal Pradesh	2004	2009	...	683,512	64.02	60	168	55	22	19
							(36)	(11)	(7)	
Assam	2006	2011	542	17,434,019	73.77	126	997	109	69	62
							(95)	(46)	(37)	
Chhattisgarh	2003	2008	445	13,543,656	71.30	90	819	56	31	15
							(23)	(14)	(2)	
Delhi	2003	2008	496	8,448,324	53.42	70	817	46	8	7
							(27)	(3)	(2)	
Goa	2007	2012	...	1,010,246	70.51	40	292	56	19	18
							(34)	(18)	(17)	
Haryana	2005	2009	516	12,735,888	71.96	90	983	59	44	29
							(48)	(28)	(15)	
Jharkhand	2005	2009	520	17,766,202	57.03	81	1,309	63	31	15
							(41)	(33)	(19)	
Karnataka	2004	2008	576	38,586,754	65.17	224	1,713	85	35	3
							(89)	(22)	(12)	

Kerala	2006	2011	240	21,483,937	72.38	140	931	105	31	25
								(82)	(23)	(15)
Maharashtra	2004	2009	433	65,965,792	63.44	288	2,678	214	112	85
								(183)	(96)	(61)
Manipur	2007	2012	...	1,797,204	86.73	60	308	47	33	28
								(35)	(24)	(14)
Mizoram	2003	2008	...	532,028	78.65	40	192	31	17	15
								(13)	(9)	(5)
Nagaland	2004	2009	475	23,651,989	66.05	147	802	108	78	60
								(81)	(56)	(37)
Nagaland	2006	2011	...	650,420	86.00	30	218	25	17	14
								(22)	(12)	(9)
Punjab	2007	2012	459	16,775,702	75.45	116	1,043	89	64	46
								(73)	(48)	(29)
Sikkim	2004	2009	...	281,937	79.23	32	91	12	14	2
								(11)	(11)	(2)
Tamil Nadu	2006	2011	509	46,003,352	70.82	254	2,586	127	43	23
								(97)	(32)	(13)
Uttarakhand	2007	2012	...	5,985,302	59.45	69	785	57	30	25
								(47)	(27)	(17)
West Bengal	2006	2011	461	68,165,201	81.97	294	1,654	159	101	60
								(126)	(77)	(50)
Total				631,967,397			5,601	32,288	2,347	1,368
								(1,791)	(1,019)	(570)
Lok Sabha	2004	2009		671,487,930	58.07		543	5,433		

SOURCE:—Statistical Reports on General Elections, Election Commission of India, New Delhi (various years); India Corruption Study 2005, Transparency International India (June 30, 2005).
 NOTE:—This table provides an overview of the states in our sample along with some state characteristics at the time of the first elections. The columns labeled Winners and Runners-Up show the number of candidates who were able to manually match across elections, and in parentheses we show the number of matches that were potentially usable (i.e., good-quality affidavits and minimum candidate net worth of Rs. 100,000). Pairs refers to the number of constituencies in which winners and runners-up both recontested.
 * October 2005 reelection.

(a) Table 1, part 1

(b) Table 1, part 2

Table 1: overview of sample states.

6.2 Table 2: Variable Definitions

Read:

- Table 2 defines movable assets, immovable assets, liabilities, net assets, and net asset growth.
- It also defines the core treatment variable Winner and key political variables such as Minister, Government, Incumbent, BIMARU, BIMAROU, and TI Corruption.
- The key outcome is annualized growth in net assets over the electoral cycle.
- The candidate controls include education, criminal record, gender, age, and constituency reservation status.

Economic message: The table is important because it clarifies that the paper studies net wealth, not just assets. This is essential for distinguishing true private returns from changes in borrowing.

TABLE 2
VARIABLE DEFINITIONS

Variable	Description
Movable Assets (1)	Sum of (i) cash; (ii) deposits in banks, financial institutions, and nonbanking financial companies; (iii) bonds, debentures, and shares in companies; (iv) NSS, postal savings, etc.; (v) personal loans/advance given; (vi) motor vehicles; (vii) jewelry; and (viii) other assets such as values of claims/interests as reported on the candidate affidavit. This item excludes the value of life or other insurance policies (which are usually reported at payoff values)
Immovable Assets (2)	Sum of (i) agricultural land, (ii) nonagricultural land, (iii) commercial buildings, (iv) residential buildings ("buildings and houses"), and (v) others as reported on the candidate affidavit
Total Assets	Defined as the sum of (1) and (2)
Total Liabilities (3)	Sum of (i) loans from banks and financial institutions, (ii) loans from individuals/entities, (iii) any other liability, and (iv) any dues reported on the candidate affidavit
Net Assets	"Net worth" of the candidate, defined as the sum of (1) and (2) minus (3) and computed at the beginning (Initial Net Assets) and at the end (Final Net Assets) of the electoral cycle under consideration; We remove candidates with extremely low net asset bases (net assets below Rs. 100,000 as of election 1)
Net Asset Growth	Annualized growth in net assets over an election cycle; Winsorized at the 1 and 99 percentiles
Winner	Dummy variable taking a value of 1 if the contestant won election at $t = 0$
Minister	Dummy variable indicating whether the constituency winner was appointed to the state's Council of Ministers
Margin	Vote share difference between winner and runner-up (negative for runners-up)
Incumbent	Dummy variable taking a value of 1 if the contesting candidate won the preceding constituency election ($t = -1$)
Prior Member	Dummy variable taking a value of 1 if the contesting candidate won the constituency election at $t = -2$
Education	Ordinary scale variable ranging from 1 to 9; we assign values based on the following education bands: 1 = illiterate, 2 = literate, 3 = 5th pass, 4 = 8th pass, 5 = 10th pass, 6 = 12th pass, 7 = graduate or graduate professional, 8 = postgraduate, 9 = doctorate; this variable is missing if education information was not given
Years of Education	Number of years of education the candidate has received; when using log specification, 1 is added to the number of years of education
Criminal Record	Dummy variable indicating whether the candidate has past or pending criminal cases
Government	Dummy variable indicating whether the candidate's party is part of the ruling state government
SC/ST-Quota	Dummy variable indicating whether the constituency of the candidate is that of disadvantaged groups, so-called Scheduled Castes and Tribes (SC/ST)
TI Corruption	Survey-based state corruption index (based on perceived corruption in public services) as reported in the 2005 Corruption Study by Transparency International India; the index takes on a low value of 240 for the state of Kerala (perceived as "least corrupt") and a high value of 695 for Bihar (perceived as "most corrupt"); we rescale the original measure such that it has a mean of 0 and standard deviation of 1, for the 17 states in our sample

(a) Table 2, part 1

TABLE 2 (Continued)

Variable	Description
Female	Dummy indicating the gender of the candidate (1 = female)
Age	The age of the candidate at the first election
Base Salary	Monthly base salaries of MLAs; collected from states' Salaries and Allowances and Pension of Members of the Legislative Assembly (amendment) Acts, official websites, and newspaper articles
BIMARU	Dummy variable indicating whether the constituency is located in one of the states Bihar, Madhya Pradesh, Rajasthan, or Uttar Pradesh
BIMAROU	Dummy variable indicating whether the constituency is located in one of the states Bihar, Madhya Pradesh, Rajasthan, Orissa, or Uttar Pradesh
Income per Capita	Average state-level per capita net domestic product at factor cost between 2004 and 2009 (source: Reserve Bank of India)

(b) Table 2, part 2

Table 2: variable definitions.

6.3 Table 3: Descriptive Statistics of Constituency-Matched Pairs

Read:

- Table 3 compares winners and runners-up in the main constituency-matched sample.
- Initial net assets are very similar: the medians are both 15.15 in logs.
- Final net assets are higher for winners: median log final assets are 16.09 for winners and 15.93 for runners-up.
- In close elections decided by margins of at most 5 percent, observables remain broadly balanced.

Economic message: The descriptive statistics support the runner-up comparison. Winners and runners-up look similar before the term, but winners end the term wealthier.

VARIABLE	WINNER AND RUNNER-UP			WINNER			RUNNER-UP			DIFFERENCE IN MEANS	
	Mean	Median	SD	Mean	Median	SD	Mean	Median	SD	Difference	t-Statistic
A. All Constituencies											
Log(Initial Net Assets)	15.15	15.15	1.42	15.13	15.15	1.40	15.16	15.15	1.44	-.04	-.42
Log(Final Net Assets)	16.04	16.02	1.43	16.11	16.09	1.36	15.97	15.93	1.50	.14	1.67
Female	.06	0	.23	.06	0	.24	.06	0	.23	.00	.25
Age	48.42	48	9.89	47.83	48	9.80	49.02	49	9.94	-1.19	-2.03
Years of Education	13.90	15	3.15	13.74	15	3.38	14.05	15	2.90	-.32	-1.67
Incumbent	.37	0	.48	.34	0	.47	.40	0	.49	-.06	-2.15
Criminal Record	.30	0	.46	.30	0	.46	.31	0	.46	-.01	-.11
Minister	.07	0	.25	.14	0	.35					
Margin	8.39	6.29	7.43								
SC/ST Quota	.18	0	.39								
MLA Base Salary	16,671	8,000	21,391								
B. Constituencies Decided by Margin ≤ 5 Percent											
Log(Initial Net Assets)	15.08	15.18	1.38	15.04	15.12	1.34	15.13	15.19	1.42	-.08	-.65
Log(Final Net Assets)	15.97	15.99	1.36	16.02	16.02	1.26	15.92	15.95	1.46	.10	.79
Female	.06	0	.24	.05	0	.23	.07	0	.26	-.02	-.78
Age	48.44	48	9.83	47.63	47	9.53	49.36	49	10.09	-1.63	-1.76
Years of Education	14.02	15	3.15	13.69	15	3.49	14.35	15	2.73	-.66	-2.21
Incumbent	.37	0	.48	.34	0	.48	.40	0	.49	-.05	-1.17
Criminal Record	.32	0	.47	.30	0	.46	.35	0	.48	-.04	-1.01
Minister	.06	0	.23	.12	0	.32					
Margin	2.42	2.51	1.46								
SC/ST Quota	.13	0	.34								

NOTE.—Panel A shows descriptive statistics for the 1,140 constituency-paired candidates that constitute our main sample (570 winners and 570 runners-up). In panel B, we include only candidates of those constituencies that are decided by a winning margin of 5 percent or less ("close elections"). Except for net wealth, which is shown for both elections, all variables are as of the first of the two elections. Variables are defined in detail in table 2. The last two columns show average differences and *t*-statistics of difference-in-means tests.

Table 3: descriptive statistics of constituency-matched pairs.

6.4 Figure 1: Kernel Densities of Asset Growth Residuals

Read:

- Panels A and B show that winners' asset-growth residuals are shifted to the right of runners-up's residuals, both in the full sample and in close elections.
- Panels C and D show that the shift is much clearer in BIMARU states than in non-BIMARU states.
- Panel E shows that ministers have a pronounced right tail, consistent with large returns for high-level politicians.
- Panels F and G show that the winner premium is concentrated in races involving incumbents, not in nonincumbent races.

Economic message: The figure gives the visual version of the paper's central story: winning office predicts higher asset growth, and the effect is strongest where rent extraction opportunities are likely to be greatest.

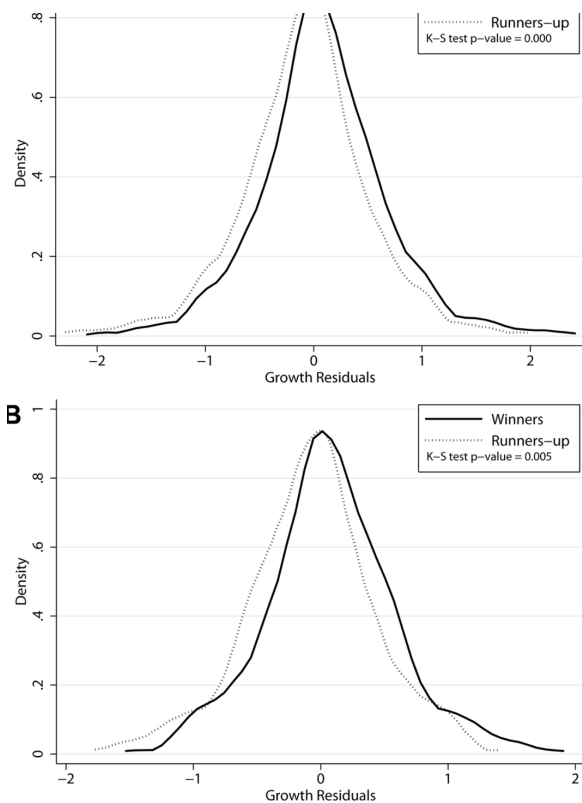


FIG. 1.—Kernel densities of asset growth residuals. This figure plots Epanechnikov kernel densities of residuals obtained from regressing $\log(\text{Final Net Assets})$ on $\log(\text{Initial Net Assets})$ and candidate observables (characteristics such as net assets, gender, and age but excluding winner dummy and margin) for the sample of constituency-matched candidates, and *A* uses the entire sample of constituency-matched candidates while panel *B* uses only candidates who were within a margin of 5 percentage points (“close elections”). In panels *C* and *D*, we divide the sample on the basis of whether their constituencies are located in IMARU states. In panel *E*, we further disaggregate winners into ministers and nonministers and plot kernel densities of these two groups as well as the runners-up. Finally, in panels *F* and *G*, we disaggregate the sample on the basis of whether an incumbent is standing or reelection in the constituency.

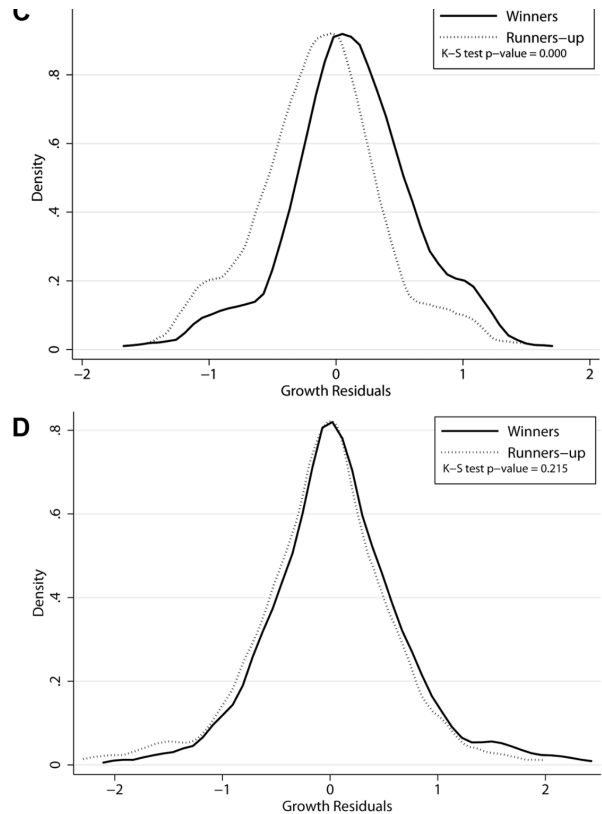


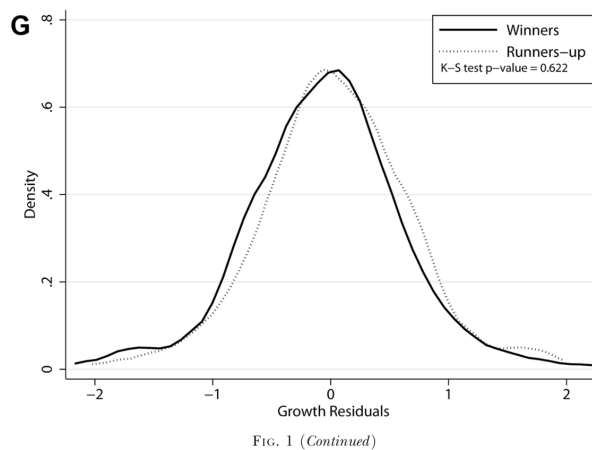
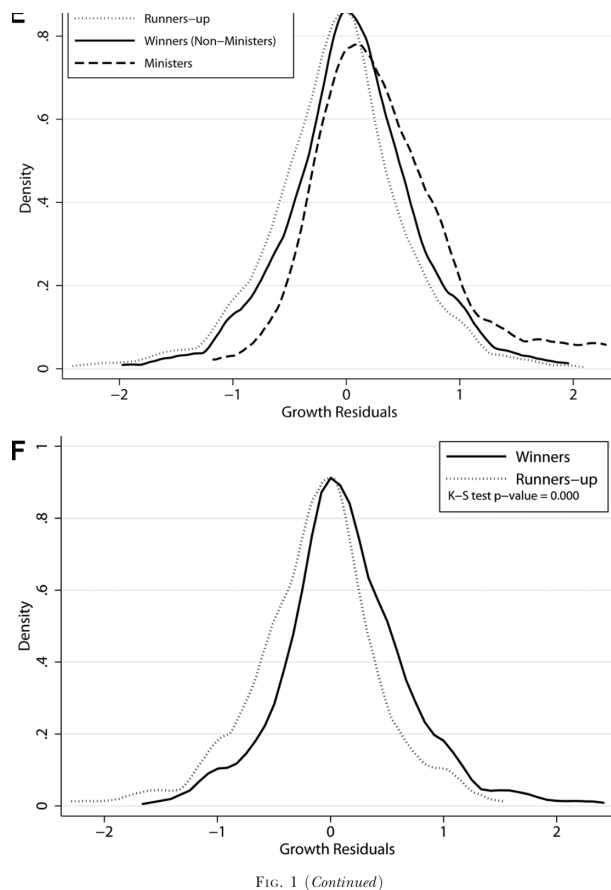
FIG. 1 (*Continued*).—Panel *F* shows winner and runner-up densities for the sample of constituencies in which an incumbent was standing for reelection. Panel *G* shows densities for the subsample of nonincumbent constituencies. K-S = Kolmogorov-Smirnov test for equality of distributions. The chosen bandwidth is the width that would minimize the mean integrated squared error if the data were Gaussian and a Gaussian kernel were used.

828

(a) Figure 1, Panels A and B

(b) Figure 1, Panels C and D

Figure 1: kernel densities of asset-growth residuals, parts 1 and 2.



B. Regression Analyses

We now turn to analyze the patterns illustrated in figure 1 on the basis of

(b) Figure 1, Panel G

829

(a) Figure 1, Panels E and F

Figure 1: kernel densities of asset-growth residuals, parts 3 and 4.

6.5 Tables 4 and 5: Baseline Winner Premium and Corruption Heterogeneity

Read:

- Table 4 estimates the within-constituency winner premium. The baseline coefficient is 0.167, or about 3.40 percent per year.
- Adding candidate controls barely changes the result: the coefficient is 0.164, or about 3.35 percent per year.
- In close elections, the annual premium remains between about 3.27 and 4.26 percent.
- Table 5 shows that the premium is much larger in BIMARU states: 5.24 percent annually versus 2.49 percent in non-BIMARU states.
- The interaction terms with BIMARU, BIMAROU, and TI Corruption are all positive, implying larger private returns in more corrupt environments.

Economic message: Table 4 establishes the basic return to winning. Table 5 makes the rent-seeking interpretation more credible by showing that the premium is higher where corruption is more likely.

TABLE 4
WITHIN-CONSTITUENCY EFFECTS OF WINNING THE ELECTION

VARIABLE	Log(Final Net Assets)				
	(1)	(2)	Margin ≤ 10 (3)	Margin ≤ 5 (4)	Margin ≤ 3 (5)
Winner	.167*** (.049)	.164*** (.052)	.187*** (.056)	.160** (.067)	.209** (.085)
Log(Initial Net Assets)	.722*** (.031)	.710*** (.034)	.715*** (.038)	.693*** (.047)	.674*** (.058)
Log(Years of Education)		-.057 (.117)			
Criminal Record		.061 (.089)			
Female		-.293 (.181)			
Age		-.012 (.028)			
Age ²		1.07E-04 (.000)			
Incumbent		.081 (.062)			
Constant	5.021*** (.469)	5.651*** (.894)	5.108*** (.569)	5.432*** (.704)	5.704*** (.873)
Observations	1,140	1,099	768	450	274
R ²	.833	.841	.848	.861	.868
Annual growth premium (%): Winner	3.40	3.35	3.81	3.27	4.26

NOTE.—The regression equation estimated is

$$\log(\text{Final Net Assets}_{it}) = \alpha_i + \beta \text{Winner}_{it} + \delta_i \log(\text{Initial Net Assets}_{it}) + \delta'_i \text{Controls}_{it} + \epsilon_{it}.$$

The dependent variable, $\log(\text{Final Net Assets}_{it})$, is the logarithm of net wealth at the end of the legislative period. The term α_i is a constituency fixed effect; Winner_{it} is the dummy for winning the initial election ($t = 0$); $\log(\text{Initial Net Assets}_{it})$ is the logarithm of the initial net assets of the politician; and Controls_{it} include the logarithm of years of education, criminal record (dummy if a criminal record was present as of the first election), gender, age, and incumbency. The regression is also run for close elections (cols. 3–5), where the vote share gap between the winner and the incumbent was less than 10, 5, and 3 percentage points. Robust standard errors are given in parentheses. The reported constant is the average value of the fixed effects. Finally, we convert our point estimates into annual asset growth premiums (point estimate divided by 4.9; the average legislative period in our sample is 4.9 years).

* Statistically significant at the 10 percent level.

** Statistically significant at the 5 percent level.

*** Statistically significant at the 1 percent level.

(a) Table 4: baseline winner premium

TABLE 5
WINNER PREMIUM AND STATE-LEVEL CORRUPTION

VARIABLE	Log(Final Net Assets)				
	BIMARU (1)	Non-BIMARU (2)	(3)	(4)	(5)
Winner	.257*** (.026)	.122** (.051)	.121** (.051)	.104* (.054)	.188*** (.045)
Log(Initial Net Assets)	.681*** (.022)	.743*** (.040)	.721*** (.029)	.720*** (.030)	.718*** (.031)
Winner $\times$ BIMARU			.136**		
Winner $\times$ BIMAROU				.156*** (.059)	
Winner $\times$ TI Corruption					.063** (.027)
Constant	5.697*** (.324)	4.672*** (.612)	5.033*** (.450)	5.051*** (.454)	5.080*** (.471)
Observations	386	754	1,140	1,140	998
R ²	.842	.83	.833	.834	.833
Annual growth premium (%): Winner	5.24	2.49	2.4	2.12	3.82
Winner $\times$ BIMARU			2.77		
Winner $\times$ BIMAROU				3.17	
Winner $\times$ TI Corruption					1.28

NOTE.—This table presents results based on several measures of state-level corruption. In cols. 1 and 2, the sample is split on the basis of whether a constituency is located in a BIMARU state, and the regression equation estimated is

$$\log(\text{Final Net Assets}_{it}) = \alpha_i + \beta \times \text{Winner}_{it} + \delta \times \log(\text{Initial Net Assets}_{it}) + \epsilon_{it}.$$

The dependent variable, $\log(\text{Final Net Assets}_{it})$, is the logarithm of net wealth at the end of the legislative period. The term α_i is a constituency fixed effect; Winner_{it} is the dummy for winning the initial election ($t = 0$); and $\log(\text{Initial Net Assets}_{it})$ is the logarithm of the initial net assets of the politician. In col. 3, we use the full sample and include an interaction term $\text{Winner} \times \text{BIMARU}$. In cols. 4 and 5, we present results employing two alternative state-level measures of corruption, BIMAROU and TI Corruption. Bootstrapped standard errors clustered at the state level are given in parentheses (Cameron et al. 2008). The reported constant is the average value of the fixed effects. Finally, we convert our point estimates into annual asset growth premiums (point estimate divided by 4.9; the average legislative period in our sample is 4.9 years).

* Statistically significant at the 10 percent level.

** Statistically significant at the 5 percent level.

*** Statistically significant at the 1 percent level.

there are two further predictions that suggest themselves. First, elected officials who are members of the ruling party or coalition should be

(b) Table 5: corruption heterogeneity

Tables 4 and 5: baseline and corruption results.

6.6 Tables 6 and 7: Government Power and Ministerial Office

Read:

- Table 6 shows that the return to office is concentrated among winners belonging to the ruling government. The interaction $\text{Government} \times \text{Winner}$ is large and positive.
- Ministerial office is associated with a very large additional premium: the Minister coefficient of 0.602 implies an annual premium of about 12.27 percent relative to nonminister winners.
- Table 7 compares current ministers with past ministers and other minister-quality politicians.
- Current ministers continue to display much higher asset growth even when compared with past ministers, suggesting that the office itself matters, not only the type of politician selected into office.
- The minister premium appears in both movable and immovable assets.

Economic message: The returns are highest for politicians with control over state resources.

This is hard to reconcile with ordinary salary and easy to reconcile with access to rents.

TABLE 6
THE EFFECT OF POTENTIAL INFLUENCE IN GOVERNMENT
ON THE RETURNS TO OFFICE

VARIABLE	Log(Final Net Assets)		
	(1)	(2)	(3)
Winner	-.121 (.142)	.083 (.051)	-.096 (.139)
Log(Initial Net Assets)	.729*** (.031)	.715*** (.031)	.721*** (.031)
Government	-.217 (.172)		-.181 (.167)
Government × Winner	.606* (.316)		.416 (.304)
Minister		.602*** (.152)	.534*** (.159)
Constant	4.986*** (.469)	5.125*** (.467)	5.097*** (.468)
Observations	1,140	1,140	1,140
R ²	.835	.838	.839
Annual growth premium (%):			
Winner	-2.47	1.70	-1.96
Government	-4.43		-3.69
Winner × Government	12.36		8.48
Minister		12.27	10.88

NOTE.—This table compares the returns of ruling party politicians to those who were elected but were not part of the majority party or coalition. We denote ruling party or coalition members by the indicator variable Government and include it as well as the interaction term Government × Winner in eq. (6). Minister denotes whether the constituency winner was appointed to the state's Council of Ministers. Robust standard errors are given in parentheses. The reported constant is the average value of the fixed effects. Finally, we convert our point estimates into annual asset growth premiums (point estimate divided by 4.9; the average legislative period in our sample is 4.9 years).

* Statistically significant at the 10 percent level.

** Statistically significant at the 5 percent level.

*** Statistically significant at the 1 percent level.

because their party was thrown out of office—serve as a plausible comparison group to control for the unobserved abilities of sitting ministers.

Since only a small subset of politicians ever hold ministerial posts, we cannot perform this analysis for our constituency-matched sample. We therefore return to our original set of 2,810 recontesting candidates with usable affidavits and wealth greater than Rs. 100,000 (see Secs. II

(a) Table 6: influence in government

TABLE 7
RETURNS OF PAST AND PRESENT MINISTERS AND ASSET GROWTH DECOMPOSITION

VARIABLE	Log(Final Net Assets)			Minister Quality (4)	Log(Final Movable Assets) (5)	Log(Final Immovable Assets) (6)
	(1)	(2)	(3)			
Winner	.057 (.099)	.060 (.099)	-.117 (.172)		.305*** (.063)	.070 (.065)
Minister	.312*** (.083)	.343*** (.088)	.439** (.176)	.236*** (.090)	.311* (.165)	.372** (.162)
Incumbent		.085 (.079)	.058 (.151)	.068 (.075)		
Log(Initial Net Assets)	.694*** (.027)	.692*** (.027)	.736*** (.051)	.659*** (.030)		
Log(Initial Movable Assets)					.629*** (.034)	
Log(Initial Immovable Assets)						.645*** (.039)
Constant	5.461*** (.429)	5.407*** (.436)	4.818*** (.804)	6.057*** (.497)	5.929*** (.452)	6.127*** (.576)
Observations	514	514	514	378	1,114	1,070
Fixed effects	State	State	District	State	Constituency	Constituency
R ²	.731	.732	.887	.785	.799	.792
Annual growth premium (%):						
Winner	1.16	1.22	-2.38		6.21	1.42
Minister	6.36	6.99	8.96	4.82	6.34	7.59
Incumbent		1.73	1.19	1.39		

NOTE.—The dependent variable in cols. 1–4 is the log of the politician's final net worth. The sample in cols. 1–3 consists of all recontesting candidates who held a ministerial post during either the current or the preceding legislative period, or both. In col 4, the sample is further refined to include only current ministers as well as past ministers who won the current election but whose party was not a member of the ruling state government ("minister quality" sample). In cols. 5 and 6, the dependent variable is the log of the politician's final movable and immovable assets, respectively, and the sample consists of the constituency-matched pairs. Robust standard errors are given in parentheses. The reported constant is the average value of the fixed effects. Finally, we convert our point estimates into annual asset growth premiums (point estimate divided by 4.9; the average legislative period in our sample is 4.9 years).

* Statistically significant at the 10 percent level.

** Statistically significant at the 5 percent level.

*** Statistically significant at the 1 percent level.

the coefficient of 0.312 (significant at the 1 percent level) indicates that current ministers generate asset growth that is 6.4 percent (0.312/4.9) higher than that of politicians who previously served as ministers but

(b) Table 7: past and present ministers

Tables 6 and 7: political power and ministerial rents.

6.7 Tables 8 and 9: Incumbency and Other Candidate Characteristics

Read:

- Table 8 shows that the winner premium is strongly concentrated among incumbents. The interaction Incumbent × Winner is large, positive, and statistically significant.
- The direct effect of Incumbent is negative for those who lose, suggesting that politicians who leave office may have weak private-sector alternatives.
- Table 9 shows that the winner premium is lower for more educated politicians, consistent with better outside options.
- The winner premium is larger in SC/ST-reserved constituencies and for female winners, while the interaction with official base salary is small and insignificant.

Economic message: Political experience and office continuation matter. Official salary does not

explain the effect, while outside options and constituency structure shape the size of the premium.

TABLE 8
INCUMBENCY

VARIABLE	Log(Final Net Assets)		
	(1)	(2)	(3)
Winner	-.106 (.105)	-.145 (.104)	-.136 (.106)
Log(Initial Net Assets)	.709*** (.032)	.707*** (.031)	.711*** (.032)
Incumbent	-.288** (.127)	-.276** (.126)	-.275** (.131)
Incumbent × Winner	.751*** (.238)	.651*** (.236)	.685*** (.247)
Minister		.537*** (.156)	.564*** (.158)
Prior Member			-.036 (.115)
Prior Member × Winner			-.126 (.204)
Constant	5.340*** (.477)	5.356*** (.474)	5.314*** (.477)
Observations	1,140	1,140	1,140
R ²	.837	.841	.841
Annual growth premium (%):			
Winner	-2.15	-2.97	-2.77
Incumbent	-5.88	-5.62	-5.60
Incumbent × Winner	15.31	13.28	13.97
Minister		10.94	11.49

NOTE.—The table shows results for the constituency fixed-effects regression model and investigates the effects of incumbency. The log of politicians' Final Net Assets is the dependent variable. Winner = 1 if the politician won the initial election ($t = 0$) and 0 if the politician did not win. Incumbent is the dummy for incumbency. We also include an interaction term between Incumbent and Winner. Minister indicates whether the constituency winner was appointed to the state's Council of Ministers. In col. 3, we also include a dummy variable, Prior Member, which indicates whether the candidate won the constituency election at $t = -2$, as well as its interaction with Winner. Robust standard errors are given in parentheses. The reported constant is the average value of the fixed effects. Finally, we convert our point estimates into annual asset growth premiums (point estimate divided by 4.9; the average legislative period in our sample is 4.9 years).

* Statistically significant at the 10 percent level.

** Statistically significant at the 5 percent level.

*** Statistically significant at the 1 percent level.

that incumbent politicians may have weak private-sector employment opportunities after spending a term in office. In column 2, we include Minister as a control since attainment of high-level positions is correlated with tenure in state politics (the correlation between Minister and In-

(a) Table 8: incumbency

TABLE 9
OTHER CANDIDATE CHARACTERISTICS

VARIABLE	Log(Final Net Assets)					
	(1)	(2)	(3)	(4)	(5)	(6)
Winner	1.722** (.677)	.852 (.922)	.108** (.053)	.110** (.052)	.135*** (.051)	-.175 (.508)
Log(Initial Net Assets)	.714*** (.033)	.720*** (.032)	.723*** (.031)	.725*** (.024)	.726*** (.030)	.714*** (.034)
Log(Years of Education)	.291 (.184)					
Log(Years of Education) × Winner	-.585** (.254)					
Winner × log(Income per Capita)		-.067 (.091)				
SC/ST-Quota × Winner			.321** (.132)	.330*** (.127)		
SC/ST-Quota				-.311** (.128)		
Female					-.549** (.225)	
Winner × Female					.566* (.307)	
Winner × log(Base Salary)						.034 (.055)
Constant	4.359*** (.657)	5.054*** (.475)	5.001*** (.460)	5.024*** (.363)	4.998*** (.458)	5.146*** (.502)
Observations	1,100	1,140	1,140	1,140	1,140	1,035
R ²	.84	.833	.835	.766	.835	.841

NOTE.—Other characteristics analyzed include education, average income per capita, constituencies reserved for SC/ST candidates, gender, MLA base salaries, and their interactions with winner. Log(Years of Education) is the logarithm of 1 plus years of education the candidate has received. Income per Capita measures average state-level per capita net domestic product between 2004 and 2009. SC/ST-quota is a dummy for whether or not the constituency of the candidate is that of a disadvantaged group, so-called Scheduled Tribes and Castes (SC/ST). Female is the dummy for the gender of the candidate. Robust standard errors are given in parentheses. The reported constant is the average value of the fixed effects.

* Statistically significant at the 10 percent level.

** Statistically significant at the 5 percent level.

*** Statistically significant at the 1 percent level.

less lucrative private-sector options as a result of discrimination, lower unobserved skill levels, or weaker labor market opportunities in SC/ST-dominated areas. While we cannot include both the direct effect of

(b) Table 9: other characteristics

Tables 8 and 9: incumbency and candidate-level heterogeneity.

6.8 Table 10 and Figure 2: Regression Discontinuity Evidence

Read:

- Table 10 estimates discontinuities at the winning threshold using local linear regressions and residual-based RD plots.
- For all winners, the local-linear RD estimate is 0.236.
- The RD estimate is much larger in BIMARU constituencies, 0.493, and statistically significant; the non-BIMARU estimate is small and insignificant.
- The minister RD estimate is very large, 0.773 in the local-linear specification.
- Figure 2 visualizes these jumps: strong discontinuities appear for BIMARU, ministers, and incumbents, but not for non-BIMARU, nonministers, or nonincumbents.

Economic message: The RD evidence supports the core interpretation. The returns appear right at the winning threshold and are concentrated in the subsamples where rents should be larger.

	CONSTITUENCY SAMPLE						
	All Winners (1)	BIMARU (2)	Non-BIMARU (3)	Ministers (4)	Nonministers (5)	Incumbent (6)	Nonincumbent (7)
A. Estimation Using Local Linear Regressions							
Winner	.236*	.493***	.115	.773***	.168	.310*	-.168
	(.138)	(.180)	(.188)	(.252)	(.155)	(.160)	(.259)
p-value		.0297		.0005		.0167	
Observations	440	162	278	50	300	325	115
R ²	.871	.889	.869	.932	.869	.87	.91
B. RD Design Using Residuals							
Winner	.207*	.624***	-.034	.627***	.125	.286**	-.006
	(.115)	(.149)	(.154)	(.184)	(.127)	(.131)	(.231)
p-value		.002		.0213		.1921	
Observations	1,102	380	722	150	952	818	284
R ²	.021	.09	.015	.229	.01	.05	.041

NOTE.—In this table, we report results from RD specifications. In panel A, we present discontinuity estimates using local linear regressions for the subsample of elections that were decided by margins of 5 percent or less. In col. 1, we report results using the entire sample of constituency-matched winners and runners-up. In cols. 2 and 3, we partition the sample into BIMARU and non-BIMARU constituencies. Column 4 includes only ministers with corresponding runners-up, and col. 5 includes only winners not appointed to the Council of Ministers and corresponding runners-up. Finally, in cols. 6 and 7, we disaggregate the sample on the basis of whether an incumbent is standing for reelection in the constituency. Column 6 shows results for the sample of constituencies in which an incumbent was standing for reelection; col. 7 uses the sample of non-incumbent constituencies. In panel B, we present discontinuity estimates in residuals at the winning threshold according to eq. (7) and corresponding to the plots shown in fig. 2. Specifically, in a first step, we generate residuals by regressing log(Final Net Assets) on candidate observables, including log(Initial Net Assets), gender, incumbency, and age and a constituency fixed effect but excluding the winner dummy and margin. In a second step we run the following regression:

$$\text{res}_{it} = \alpha + \tau \cdot D_{it} + \beta \cdot f(\text{Margin}_{it}) + \eta \cdot D_{it} \cdot f(\text{Margin}_{it}) + \epsilon_{it},$$

where res_{it} is the residual obtained in the first-step regression, D_{it} is the dummy for winning, and $f(\text{Margin}_{it})$ are flexible fourth-order polynomials. The goal of these functions is to fit smoothed curves on either side of the suspected discontinuity. The magnitude of the discontinuity, τ , is estimated by the difference in the values of the two smoothed functions evaluated at zero. Coefficients with robust standard errors are given in parentheses. P-values for tests of differences between estimated coefficients are reported for all contrasts.

* Statistically significant at the 10 percent level.
 ** Statistically significant at the 5 percent level.
 *** Statistically significant at the 1 percent level.

Table 10: regression discontinuity estimates.

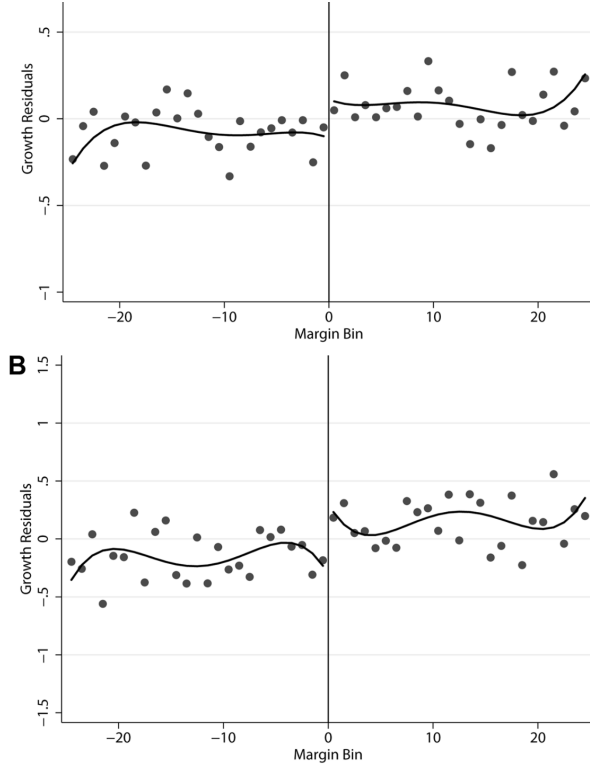


FIG. 2.—Regression discontinuity design. This figure investigates residuals obtained by regressing $\log(\text{Final Net Assets})$ on candidate observables, including $\log(\text{Initial Net Assets})$, gender, incumbency, and age but excluding winner dummy and margin as a function of winning margin for the sample of constituency-matched candidates. We first collapse residuals on margin intervals of size 1 percentage point (margins ranging from -25 to $+25$) and then estimate the following equation: $\bar{R}_i = \alpha + \tau \cdot D_i + \beta \cdot f(\text{Margin}(i)) + \eta \cdot D_i \cdot f(\text{Margin}(i)) + \epsilon_i$, where $\bar{R}_i$ is the average residual value within each margin bin i , $\text{Margin}(i)$ is the midpoint of the margin bin i , D_i is an indicator that takes a value of one if the midpoint of margin bin i is positive and a value of zero if it is negative, and ϵ_i is the error term. The terms $f(\text{Margin}(i))$ and $D_i \cdot f(\text{Margin}(i))$ are flexible fourth-order polynomials. Panel A shows results using the sample of all winners and runners-up. In panels B and C we partition the sample on the basis of whether a constituency was located in a BIMARU state.

844

(a) Figure 2, Panels A and B

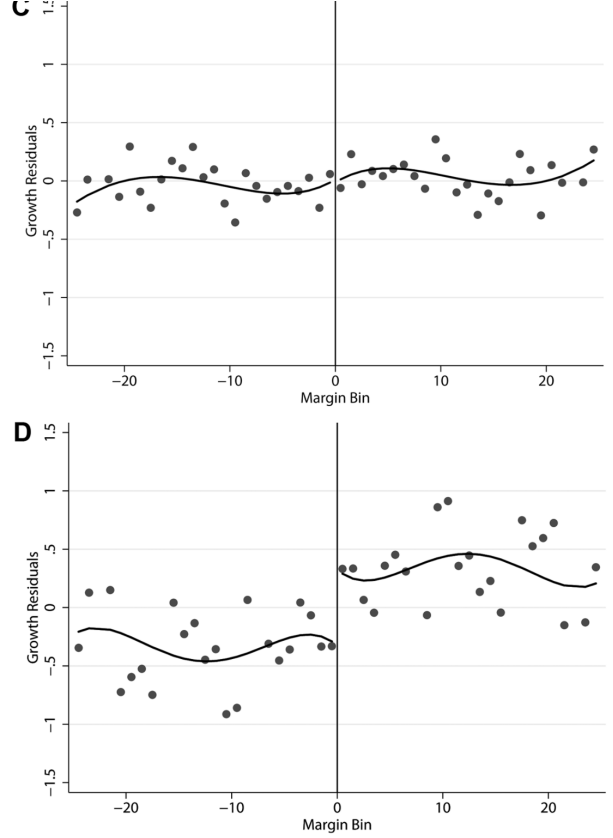


FIG. 2 (Continued).—Panel D includes only ministers with corresponding runners-up; panel E includes only winners who were not appointed to the Council of Ministers with corresponding runners-up. Finally, in panels F and G, we disaggregate the sample on the basis of whether an incumbent is standing for reelection in the constituency. Panel F shows results for the sample of constituencies in which an incumbent was standing for reelection; panel G shows the subsample of nonincumbent constituencies.

845

(b) Figure 2, Panels C and D

Figure 2: RD plots, parts 1 and 2.

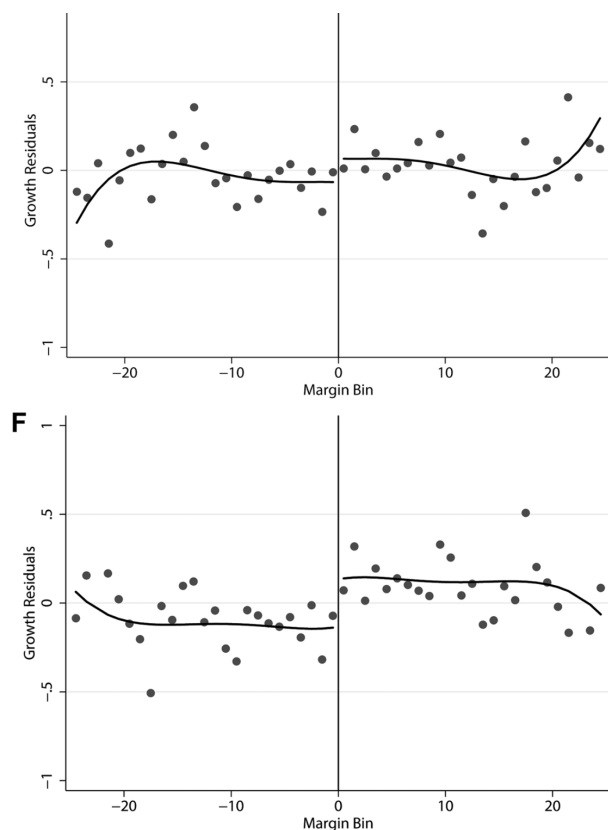


FIG. 2 (Continued)

(a) Figure 2, Panels E and F

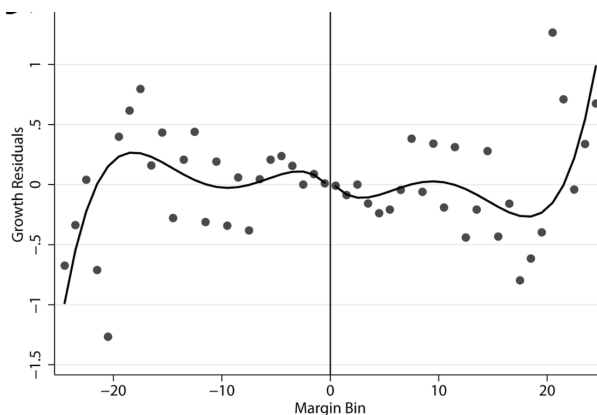


FIG. 2 (Continued)

or winners versus runners-up. Overall, these results are in line with those obtained from standard regression analyses.

(b) Figure 2, Panel G

Figure 2: RD plots, parts 3 and 4.

6.9 Figure 3, Table 11, and Figure 4: Balance and Seasoned Candidates

Read:

- Figure 3 plots initial net assets and age for close-election winners and runners-up.
- The initial-wealth distributions are almost identical, which supports the close-election comparison.
- Table 11 illustrates a repeated contest between two seasoned politicians in Assam.
- Figure 4 applies the RD approach to seasoned candidates and estimates a discontinuity of 0.521, significant at the 10 percent level.

Economic message: The balance and seasoned-candidate checks reduce concern that the results are simply driven by different types of candidates on the winner and runner-up sides.

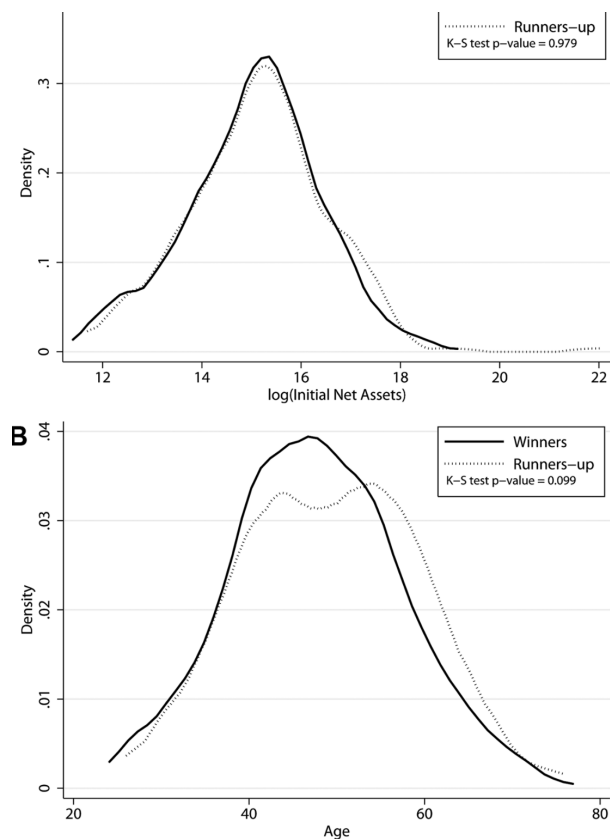


FIG. 3.—Kernel densities of observable characteristics in close elections. This figure plots Epanechnikov kernel densities of log(Initial Net Assets) and Age for the sample of constituency-matched candidates who were within a margin of 5 percentage points (“close elections”). Panel A plots log(Initial Net Assets) densities for winners and runners-up, and panel B plots densities for Age. K-S = Kolmogorov-Smirnov test for equality of distributions. The chosen bandwidth is the width that would minimize the mean integrated squared error if the data were Gaussian and a Gaussian kernel were used.

(a) Figure 3: balance in close elections

Figure 3 and Table 11: balance and seasoned-candidate example.

DISWANATH ASSEMBLY CONSTITUENCY (ASSAM)						
Year	Winner	Percent	Party	Runner-Up	Percent	Party
2011	Prabin Hazarika	45.51	AGP	Nurjamal Sarkar	44.09	INC
2006	Nurjamal Sarkar	41.76	INC	Prabin Hazarika	39.46	AGP
2001	Nurjamal Sarkar	48.55	INC	Prabin Hazarika	44.3	AGP
1996	Prabin Hazarika	42.62	AGP	Nurjamal Sarkar	31.76	INC
1991	Nurjamal Sarkar	46.49	INC	Prabin Hazarika	17.39	AGP

in at least two elections prior to the elections we consider in our analysis and in which both were either winner or runner-up in these earlier elections. Repeated contests of this sort between seasoned politicians are surprisingly common in our data: our restricted sample contains 100 can-

(b) Table 11: repeated Assam contest

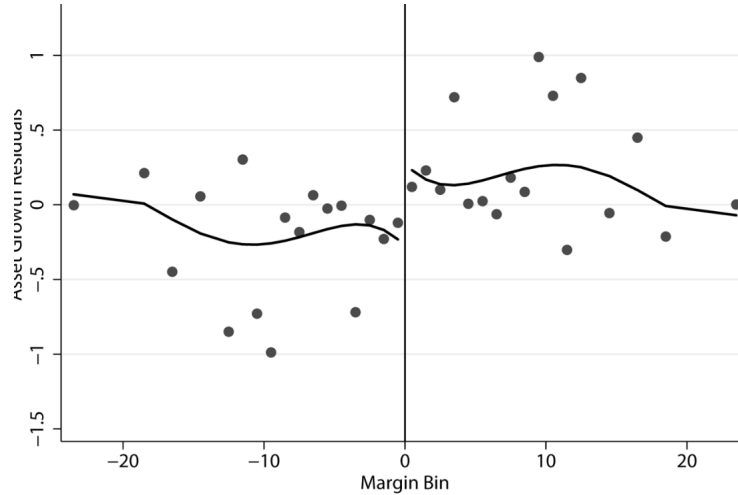


FIG. 4.—Seasoned candidates. We investigate the winner’s premium for the subsample of seasoned politicians. The point estimate of the discontinuity is 0.521 and is significant at the 10 percent level (t -statistic = 1.84).

idual party gained a majority of seats, and attempts at forming a coalition reached an impasse. As a result of this hung assembly, new elections were held in October/November of the same year.³⁷ In a significant frac-

Figure 4: regression discontinuity for seasoned candidates.

6.10 Tables 12 and 13: Bihar Hung Assembly Quasi-Experiment

Read:

- Table 12 exploits Bihar’s 2005 hung assembly, where a February election was followed by another election later the same year.
- Among very close February contests, the probability that the February winner wins again in October approaches 50 percent, suggesting substantial quasi-random switching of winner status.
- Table 13 compares candidates whose winner/runner-up status switched between the two 2005 elections.
- In the full switcher sample, the annual net asset growth difference is 0.128 and statistically significant.

Economic message: The Bihar episode provides a cleaner quasi-experimental check. It produces estimates broadly consistent with the main finding that officeholding raises wealth growth.

TABLE 12
EVIDENCE FROM BIHAR'S HUNG ASSEMBLY (February 2005):
RANDOMNESS OF CLOSE ELECTIONS

	PROBABILITY OF WINNING OCTOBER 2005 ELECTION (%)					
	(1)	(2)	(3)	(4)	(5)	(6)
Winner	66.2	63.2	60.9	58.6	52.2	50.0
Runner-up	33.8	36.8	39.1	41.4	47.8	50.0
Margin (February 2005)		< 20%	< 15%	< 10%	< 5%	< 1%
Elections	130	117	110	87	46	10

NOTE.—We present results from a quasi experiment using Bihar's hung legislative assembly. From the 243 constituencies contested in the February election, we sample those in which both the winner and runner-up competed again in the October election of the same year and emerged as winner/runner-up or runner-up/winner in this later election. We list the probabilities of winning the October election as a function of the winning margin in the February election. Standard errors of differences are reported in parentheses.

significant element of randomness for close elections in this sample of 46 constituencies.³⁸

We compare the net asset growth of a treatment group and a control group. The treatment group consists of candidates who were runners-up

(a) Table 12: randomness of close Bihar elections

TABLE 13
EVIDENCE FROM BIHAR'S HUNG ASSEMBLY (February 2005):
ANNUAL NET ASSET GROWTH OF "SWITCHERS"

	(1)	(2)
Winner	.289	.195
Runner-up	.161	.137
Difference	.128**	.058
	(.064)	(.073)

NOTE.—In this table, we show the annual net asset growth of candidates whose status as winner/runner-up switched as a result of the hung assembly (Winner indicates election winners in the October election). In col. 1, we include all such candidates whose winner status shifted between these two 2005 elections, and in col. 2, we limit our analysis to the constituency-matched sample. Standard errors of differences are reported in parentheses.

** Statistically significant at the 5 percent level.

difference in the net asset growth between winners and runners-up proximately 6 percent, roughly similar to the magnitudes we observe with the full sample. Given the small sample size, the difference in growth for the sample of 22 candidates is not statistically significant.

Discussion of Results

(b) Table 13: asset growth of switchers

Tables 12 and 13: Bihar hung-assembly evidence.

6.11 Table 14: Predicted Final Wealth and Selection Concerns

Read:

- Table 14 asks whether observable characteristics predict the same winner premium seen in actual final wealth.
- When final wealth is replaced with predicted final wealth based on observables, the winner coefficient is close to zero or negative.
- In close elections, predicted final wealth again does not generate the positive winner premium.
- This suggests that observable selection cannot explain the actual winner premium.

Economic message: The table supports the argument that the paper is not merely picking up richer, older, or more educated politicians winning elections. The wealth premium appears after winning, not simply in predicted potential wealth.

This is shown in table 14. This suggests that, if anything, selection based on these observables creates a downward bias in our estimates.

To assess empirically whether winners and runners-up select differently into the decision to rerun for office, we include in appendix table B.5 a probit analysis of whether predetermined attributes affect the proba-

TABLE 14
PREDICTED VALUES OF FINAL WEALTH AND WINNER

VARIABLE	LOG(Final Net Assets)					
				Close Elections: Margin ≤ 5		
	Observed	Predicted	Predicted	Observed	Predicted	Predicted
	(1)	(2)	(3)	(4)	(5)	(6)
Winner		-.021 (.079)	-.078 (.105)		-.069 (.121)	-.159 (.163)
Winner × BIMARU			.0802 (.158)			.182 (.241)
Minister			.231 (.163)			.169 (.228)
Log(Initial Net Assets)	.712*** (.034)			.665*** (.054)		
Log(Years of Education)	-.097 (.121)			-.217 (.199)		
Criminal Record	.049 (.090)			.108 (.119)		
Female	-.288 (.188)			-.13 (.293)		
Age	-.012 (.028)			.004 (.042)		
Age ²	9.18E-05 (.000)			-6.8E-05 (.000)		
Incumbent	.068 (.063)			.198** (.091)		
Constant	6.400*** (.858)	16.06*** (.057)	16.00*** (.074)	6.045*** (1.140)	16.00*** (.088)	15.88*** (.115)
BIMARU			.178 (.111)			.344* (.178)
Observations	1,099	1,099	1,099	440	440	440
R ²	.837	0	.008	.867	.001	.03

NOTE.—In a first stage, we regress log(Final Net Assets) on candidate characteristics. In a second stage, we regress the predicted values of log(Final Net Assets) on the dummy for winning the election, Winner (col. 2). Column 3 further includes Minister and BIMARU interactions. *P*-values of a test of equality of the “placebo” coefficient (with predicted final wealth) and the “real” coefficient (with actual final wealth) are .000 for Winner, .0701 for Winner × BIMARU, and .003 for Minister. The regression is also run for close elections (cols. 4–6), where the vote share gap between the winner and runner-up was less than 5 percentage points (corresponding *p*-values are .0004, .1357, and .1244). Robust standard errors are given in parentheses. The reported constant is the average value of the fixed effects in cols. 1 and 4.

* Statistically significant at the 10 percent level.

** Statistically significant at the 5 percent level.

*** Statistically significant at the 1 percent level.

Table 14: predicted values of final wealth and winner.

7 Short summary

- The paper studies the private financial returns to political office using Indian candidate asset disclosures.
- The core comparison is between state-election winners and runners-up from the same constituency who both recontest.
- Winners’ assets grow around 3–5 percentage points per year faster than runners-up’s assets.
- The winner premium is larger in close elections and in RD designs.
- The premium is much larger in BIMARU and other high-corruption states.

- Ministers and members of the governing coalition experience especially high wealth growth.
- Incumbents earn much higher premia than freshman politicians.
- Official salary does not explain the results.
- The evidence points to rent extraction as the likely source of private returns to office.

8 Conclusion

8.1 Core conclusion

Fisman, Schulz, and Vig show that public office in India carries large private financial returns. The average state-election winner accumulates wealth faster than a runner-up from the same constituency. The effect survives close-election comparisons, RD specifications, and several robustness checks.

8.2 Economic intuition

The intuition is that public office gives politicians access to public funds, regulatory discretion, procurement, land and mineral decisions, and other channels through which rents may be extracted. The value of these channels should be greatest in corrupt states and for politicians with more authority. This is exactly the pattern in the data: BIMARU politicians, ministers, government-party winners, and incumbents show the largest wealth gains.

8.3 Incremental contribution revisited

The paper contributes by turning public asset-disclosure laws into a measure of political rents. It improves on simple comparisons by using constituency-matched runners-up, close elections, and an RD design. It also goes beyond estimating an average return by showing that returns rise with corruption and political power.

8.4 Implications

The findings imply that political selection and political behavior may be strongly affected by private financial returns to office. If office generates large private rents, then the pool of candidates, the effort spent winning elections, and the incentives of incumbents may be shaped by rent-seeking opportunities rather than public service alone.

8.5 Limitations

The paper does not directly observe illegal payments, bribes, or hidden assets. It relies on disclosed wealth and therefore may miss concealed returns. The sample is restricted to recontesting candidates, and close-election estimates are local. Still, the observed heterogeneity by corruption, ministerial power, and incumbency makes the rent-seeking explanation difficult to dismiss.

8.6 Takeaway

The enduring takeaway is that public office can be privately lucrative, especially where corruption opportunities and political authority are high. The paper shows that asset disclosures can reveal the economic value of political power and provide indirect but powerful evidence on rent extraction.